



Rialtas na hÉireann
Government of Ireland

Budget 2026

Tax Policy Changes - Summary



Prepared by the Department of Finance
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Summary of *Budget 2026* Tax Policy Changes

Introduction

This document outlines the tax policy changes in *Budget 2026*. The table below shows the cost (presented as a negative figure) or yield (presented as a positive figure) of the tax measures. The costs are estimated by Department of Finance officials working in conjunction with colleagues in the Revenue Commissioners.

Key Objectives of Taxation Policy in *Budget 2026*

In setting taxation policy, the Government has identified the following areas of focus:

- Household Tax Measures;
- Supporting the Housing Market;
- Supporting Enterprise, SMEs and the Agricultural Sector;
- Supporting Climate Action;
- Other Taxation Measures.

Table 1: Tax measures for introduction in 2026, € million

Household Tax Measures	First year Cost/Yield	Full-year Cost/Yield
Universal Social Charge (USC)		
Increase the 2% rate ceiling by €1,318	-22	-26
Extend the USC concession for medical card holders to 31 December 2027	-50	-50
Rent Tax Credit		
Extend the Rent Tax Credit to 31 December 2028	-350	-350
Mortgage Interest Tax Relief		
Extend the relief to 31 December 2026 and maintain the current level of relief for 2025 and reduce the level of relief applicable for 2026	-25	-13
Tax Treatment of Pensions		
Amend tax treatment of the Auto Enrolment Retirement Savings Scheme ¹	-56	-224
Taxation of Investments		
Decrease the rate of Investment Undertaking Tax from 41% to 38%	-4.1	-4.1
Decrease the rate of Life Assurance Exit Tax from 41% to 38%	-12.5	-12.5
Decrease the rate of tax applying to equivalent offshore funds from 41% to 38%	-2.3	-2.3
Decrease the rate of tax applying to certain foreign life assurance policies from 41% to 38%	-0.1	-0.1
VAT on Gas and Electricity		
Extend the 9% VAT rate on the supply of gas and electricity to 31 December 2030	-254	-254

¹ The first year figure refers to the estimated cost of the tax treatment of the auto enrolment scheme in year 1 of the scheme (i.e. 2026), while the full-year figure refers to the estimated cost in year 10 of the scheme (i.e. 2035). The cost is estimated to remain at €56 million annually in the first three years of the scheme, rising to €112 million in years 4-6, €168 million in years 7-9 and €224 million in year 10.

Household Tax Measures	First year Cost/Yield	Full-year Cost/Yield
Manufacture of Uilleann Pipes and Irish Harps		
Extend Income Tax relief for the makers of uilleann pipes and Irish harps to 31 December 2028	-0.5	-0.5
Supporting the Housing Market		
VAT on New Apartments		
Reduce the VAT rate on the sale of new apartments to 9% from 8 October 2025 to 31 December 2030	-250	-390
Corporation Tax Exemption for Cost Rental Income		
Introduce an exemption from Corporation Tax on Cost Rental Income	-2	-20.4
Enhanced Corporation Tax Deduction for Apartment Construction Costs		
Introduce an enhanced deduction for certain costs incurred on the construction of apartments	-20	-125
Living City Initiative		
Extend and expand the Living City Initiative to 31 December 2030	-	-25
Residential Development Stamp Duty Refund Scheme		
Extend the Residential Development Stamp Duty Refund Scheme to 31 December 2030	-28.1	-28.1
Deduction for Retrofitting by Landlords		
Extend Income Tax relief for retrofitting by landlords to 31 December 2028	-0.5	-0.5
Residential Zoned Land Tax		
Amend RZLT to provide a further opportunity for landowners to request a change in zoning of land	-	-
Supporting Enterprise, SMEs and the Agricultural Sector		
VAT on Food and Catering and Hairdressing		
Reduce the VAT rate on food and catering and hairdressing to 9% from 1 July 2026 ²	-232	-681
Research and Development Tax Credit		
Enhance R&D tax credit (including increase in rate from 30% to 35%)	-169.9	-305.9
Participation Exemption for Foreign Dividends		
Introduce enhancements to provide a simplified method of double tax relief	-	-
Audiovisual Sector		
Enhance the Film Tax Credit for Visual Effects works	-1.0	-5.2
Extend the Digital Games Tax Credit to 31 December 2031 and introduce relief for expenditure on Post-Release Content	-3.9	-7.8
Capital Gains Tax Revised Entrepreneur Relief		
Increase the lifetime limit on gains qualifying for relief to €1.5 million	-31	-31

² The difference between the first year and full-year cost is due to when VAT is collected. The first year cost reflects the bimonthly VAT periods of July-August and September-October only, as VAT for November-December 2026 will be filed and collected in 2027. The full-year figure reflects the cost for a full year of VAT collection.

Supporting Enterprise, SMEs and the Agricultural Sector	First year Cost/Yield	Full-year Cost/Yield
Stamp Duty Exemption for Acquisition of Shares		
Introduce a Stamp Duty exemption for acquisitions of listed shares in Irish companies with a market cap below €1 billion and end existing exemption	-24	-24
Key Employee Engagement Programme		
Extend the Key Employee Engagement Programme to 31 December 2028	-4	-4
Special Assignee Relief Programme		
Extend the relief to 31 December 2030 and increase minimum basic annual salary requirement to €125,000	-60	-60
Foreign Earnings Deduction		
Extend the relief to 31 December 2030 and increase to the limit on the relief to €50,000	-5	-5
Agricultural Reliefs		
Extend Accelerated Capital Allowances Scheme for Slurry Storage to 31 December 2029	-6	-6
Extend Farm Restructuring Relief for Capital Gains Tax to 31 December 2029	-0.8	-0.8
Extend Farm Consolidation Relief for Stamp Duty to 31 December 2029	-1.5	-1.5
Extend the Young Trained Farmer Relief for Stamp Duty to 31 December 2029	-19.8	-19.8
Farmer's Flat Rate Payment		
Decrease the flat rate compensation for farmers to 4.5% from 1 January 2026 ³	51.2	61.5

Supporting Climate Action	First year Cost/Yield	Full-year Cost/Yield
Carbon Tax		
Increase of €7.50 per tonne of CO2 from €63.50 to €71 ⁴	121	157
Tax Measures to Support the Adoption of Electric Vehicles		
Extend VRT relief for electric vehicles to 31 December 2026	-40	-
Extend BIK relief of €10,000 applied to Original Market Value deduction for certain categories of vehicles on a tapered basis, until 31 December 2028	-	-
Introduce new A1 vehicle category for zero emission cars, with reduced BIK rates of 6-15%, depending on business mileage	-	-
Accelerated Capital Allowances (ACA)⁵		
Extend ACA scheme for Energy Efficient Equipment to 31 December 2030	-8.9	-
Extend ACA scheme for Gas and Hydrogen Vehicles and Refuelling Equipment to 31 December 2030	-0.3	-

³ The difference between the first year and full-year cost is due to when VAT is collected. The first year cost reflects the first ten months of 2026 only, as VAT for November-December 2026 will be filed and collected in 2027. The full-year figure reflects the cost for a full year of VAT collection.

⁴ Rate effective from 8 October 2025 for propellant fuels and 1 May 2026 for all other fuels. First year is 2026 in light of delayed commencement on non-propellant fuels.

⁵ These measures provide for the acceleration of existing allowances and therefore are cost-neutral over the lifespan of the assets.

Supporting Climate Action	First year Cost/Yield	Full-year Cost/Yield
Micro-Generation of Electricity		
Extend Income Tax relief for income from the micro-generation of electricity to 31 December 2028	-10	-10

Other Taxation Measures	First year Cost/Yield	Full-year Cost/Yield
Tobacco		
Increase Excise Duty by €0.50 on pack of 20 cigarettes ⁶	1.7	36.9
Bank Levy		
Extend the Bank Levy to 2026	200	-
Compliance	50	-

⁶ Change applies from Budget night; therefore, first year figure relates to yield from Budget night to 31 December 2025.



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